

MODULE 1

INTRODUCTION TO MARKETING

Introduction to Marketing: Importance of marketing, Definitions of market and marketing, Types of Needs, Elements of Marketing Concept, Functions of Marketing, evolution of marketing, Marketing V/s Selling, Customer Value and Satisfaction, 4P's of Marketing, Marketing Environment, Techniques used in environment analysis, Characteristics (Micro and Macro), Marketing to the 21st century customer.

INTRODUCTION TO MARKETING

- Marketing is the science of meeting the needs of a customer by providing valuable products to customers by utilizing the expertise of the organization, at same time, to achieve organizational goals.
- There are various standard definitions of marketing. While the words used may be different, it is obvious that all marketing activity is about the customer, focused at acquiring them and retaining them.
- Marketing is a business function and set of processes involved in creating, delivering and communicating value to customers, followed by managing customer relationships, resulting in mutual benefit for the business and its stakeholders. Marketing is also the science of selecting target markets via market analysis and segmentation, with a comprehensive knowledge of buying behaviour, aiming to provide the best customer value.
- However, marketing is successful only when an organization's mission, vision, tasks and ability to leverage technology align with and complement each other, and the business as a whole.
- Marketing provides businesses with a competitive edge, since that is what they need to do, to gain loyal customers.
- Businesses achieve this by convincing potential customers that their product is the nearest thing that satisfies their needs and wants and do it consistently, with the result that the loyal customer starts buying from them without looking at the competition.

DEFINITION OF MARKET

- The term 'market' refers to the aggregate of all demand for a particular product or service, arising from the aggregate of all consumers, both existing and potential for the product.
- It means that the whole group of consumers of a particular product constitutes the 'market' for that product.
- Philip Kotler states, "A market consists of all the potential customers sharing a particular need or wants who might be willing and able to engage in exchange to satisfy that need or want."

DEFINITION OF MARKETING

- **According to The American Marketing Association** – “Marketing is the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large”.
- **According to Dr Philip Kotler** defined marketing as “The science and art of exploring, creating, and delivering value to satisfy the needs of a target market at a profit. Marketing identifies unfulfilled needs and desires. It defines, measures and quantifies the size of the identified market and the profit potential”
- According to **Peter Drucker**, “Marketing is a distinguishing feature of business. A business is set apart from all other human organisations by the fact that it makes a product or service”.

MARKETING MANAGEMENT

“Marketing management is the process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and organizational goals.”

IMPORTANCE OF MARKETING:

- **Effective consumer engagement:** Businesses must engage customers, and herein, marketing proves to be an effective tool. Customers can be engaged by telling them **what they do not know and creating good content around your products and services.**
- **Building and maintaining reputation:** The reputation of your business depends on how it grows and what its lifespan is. This is where marketing comes across as a way to build the brand equity of businesses. And this happens when the expectations of the customers are met.
- **Building relationships between customers and business:** For any business to grow, it must build a long-lasting relationship with its customers. Marketing is based on demographics, psychographics, and consumer behaviour and therefore, gives an understanding of what customers want.
- **Boosting sales:** Since marketing utilizes different ways to promote products or services, it helps in increasing the likelihood of better sales. Happy customers translate into a company's brand ambassadors automatically.
- **Staying relevant:** Marketing helps a business to remain relevant to the customers and in its domain. It helps in maintaining good relationships.
- **Making informed decisions:** The basic questions that every business has are around the how's and why's of producing products or delivering services. This underscores the importance of marketing for businesses and the fact that it links a business and society.

Other Importance of marketing:

1. Marketing generates revenue for business.
2. Marketing considerations are the most critical factors in business planning and decision making.
3. Efficient marketing is a pre-requisite for the successful operation of a business enterprise.
4. Marketing generates employment.
5. Marketing makes available new variety of useful and quality goods to consumers.
6. Marketing converts latent demand of the consumers into effective demand and thus enables to raise the standard of living.
7. Marketing is helpful in stabilizing prices and optimum utilisation of resources.
8. Marketing raises the level of economic activity. There is a positive relation between marketing activity and economic activity of a country—economic booms and depressions are always marked by higher and lower tempo of marketing activities. Thus a high level of marketing activity is a pre-requisite for a higher level of economic activity.

NEEDS

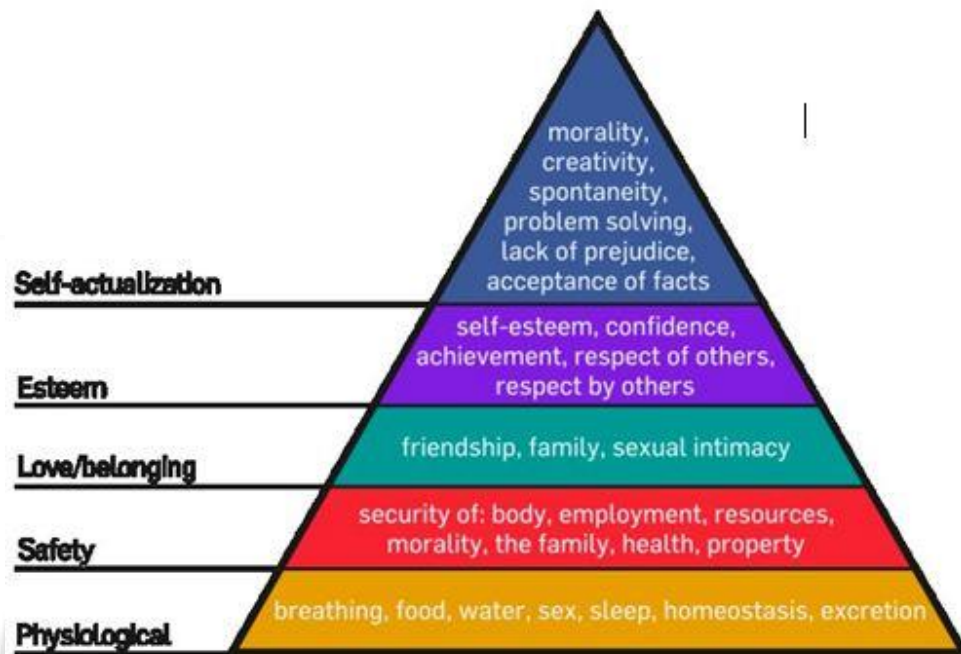
- To fully appreciate the marketing concept, first, we to understand needs, wants, and demands;
- Needs – it is something inevitable for the existence of life; many adverse things can occur without it. The worst-case situation would be death. Needs cover many things, like food, shelter, self-development, security, social belonging, self-esteem, and respect.
- Wants – wants are our desires and wishes in life; our social setup and culture mold our wants.
- Demands – when our desires, needs, and wants are backed by our ability to pay, they become demands.

Needs:

- Needs are basic or advanced urges or demands that lead us to take an appropriate action to fulfil them.
- In terms of marketing, needs are the gaps which the companies try to fulfil with their products and services.
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TYPES OF NEEDS:

There are several different types of needs that individuals may have:



1. **Physiological needs:** These are the basic needs required for survival, such as food, water, air, shelter, and clothing.
2. **Safety needs:** These needs involve feeling secure and safe from physical or emotional harm, including protection from violence, danger, and illness.
3. **Love and belonging needs:** These needs involve forming meaningful relationships with others and feeling a sense of connection and belonging within a social group or community.
4. **Esteem needs:** These needs involve feeling valued and respected by others, as well as achieving a sense of self-worth and confidence through accomplishments, skills, and recognition.
5. **Self-actualization needs:** These are the highest level of needs and involve fulfilling one's potential and achieving personal growth and self-fulfillment.

It's important to note that these needs are not always hierarchical and may overlap or vary in importance depending on an individual's cultural, social, and personal circumstances

5 Types of Needs in Marketing:

Need, in terms of marketing can be divided into the following five types:

1. Stated

Stated Needs are the ones which are specified clearly by the customer or the market. They are also the expected needs for a particular product or service. These needs are at the most basic level without which the need cannot be qualified. e.g. I need food to eat and i feel like having a sandwich.

2. Real

Real needs are at one level above the stated needs and put a boundary on the above. Real needs define the parameter which are immediate to defining and fulfilling the need. e.g. I need a cheese sandwich at affordable price.

3. Unstated

Unstated needs are which are not obvious but are expected by the customer. These are the needs which can be used to differentiate by the companies while designing the products to fulfil the needs of the customer. e.g. I need basic vegetables to be added as part of my sandwich. It should not be just a single slice cheese plain sandwich.

4. Delight

Delight needs are the needs which provide the 'wow' factor. These needs like unstated needs can make some products more popular than the other if they meet these needs. e.g. The quality of the cheese used to be the best one with special sauce but still the price of the sandwich would be below 2\$.

5. Secret

These are the needs which a customer might not state or realize but can be one of the main reasons for choosing a particular product to fulfil the basic stated need. e.g. i need this sandwich to quickly eat my food and look cool.

MARKETING CONCEPT / ELEMENTS OF MARKETING CONCEPT:



THE PRODUCT CONCEPT –

- In the product concept, marketers do not give any importance to the requirements and wants of the customers. Their central focus is to produce more and more goods, quantity matters, not quality.
- The core purpose of the product concept is to manufacture cheaper products because the consumers won't pay much price for the products or services. So the businesses that accompany the product concept manufacture the goods on a mass scale and profit out of the

economies of scale.

- The core purpose of the product concept is to manufacture cheaper products because the consumers won't pay much price for the products or services. So the businesses that accompany the product concept manufacture the goods on a mass scale and profit out of the economies of scale.
- The term "marketing myopia" describes **when a company is so focused on quick sales and mass production of goods they lose sight of their long-term goals and customer needs.** This shortsightedness in a marketing strategy or business model prevents a company from achieving long-term success.
- It also emphasis on quality assurance, Managers in these organizations focus on making superior products & improving them overtime. They assume that buyers admire well-made products and can evaluate quality & performance. Mgt might commit the Better-mousetrap fallacy, believing that it will lead people to beat a path to its door. Example:- web T V

THE PRODUCTION CONCEPT:

- It is one of the earliest marketing concepts where the organization concentrates on the ability of its production processes. It is to manufacture the products cheaper to make them ready for the mass population. The center of the production concept is on the quantity, not the quality of the products.
- Production concept began in the mid-1950s, and it accompanies the Say's Law. It says that supply generates demand in the market. Therefore, according to this law, when a company manufactures a product, it doesn't need to promote its products; it would sell itself.
- The law became widespread because, at that time, there was no technology and communications, and people used to travel less.
- The salesman in the store used to be the only retailer, and there were few manufacturers. So there used to be a confined variety of products, whatever comes in the market, and then it would have been marketed.
- For example, McDonald's and fast food chains in general also aim to ace their operations.

THE SELLING CONCEPT:

As the name suggests, the idea of selling is to sell the company's product through large-scale marketing and promotional activities. It doesn't matter whether they satisfy customers' needs or not.

- The center of the management in this method is to finish the transaction of sale; they believe that their job is done once they market their product. Therefore, rather than establishing and maintaining a long-term connection with the customer, the customer would come back again.
- The sale concept is a very precarious strategy because it's based on a very weak notion that the company should sell whatever they're manufacturing instead of meeting customer's demands.
- In this approach, marketers believe that if consumers don't like the company's product, they'll buy something else and forget about their past shopping experience. So the whole notion of the sale concept is based on the false presumption that the customers don't remember their past buying experience.

- For example, blood donations and insurance policies come under the category of sale concept, where the marketer believes that their job is done after making the transaction.

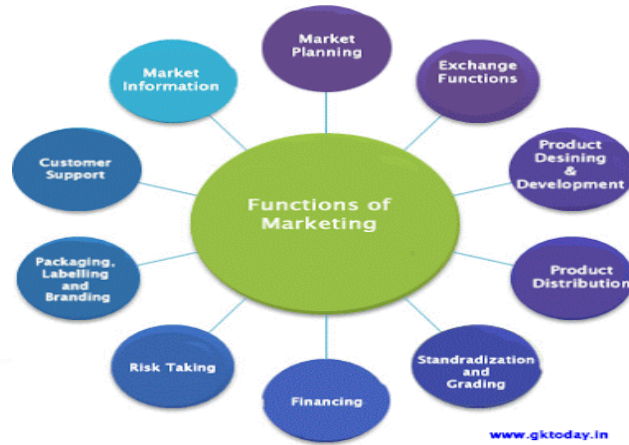
THE MARKETING CONCEPT:

- When it comes to the marketing concept, it is customer-oriented. It places customers in the middle of the marketing process, discovering customers' demands and wants, then meeting those needs better than the competitors.
- In this method, the marketer assumes that the customer is always right, and his requirements and wants should be their priority. Here the marketing strategy concentrates on producing a profit by satisfying the needs and wants of customers.
- It supports a very simple strategy: marketers do not search for the right customers for their product; instead, they build the right product. Thus, marketers seek to bridge the gap between the consumers and the company's products.
- When you analyze the *marketing concept* with the sale concept, you may find a huge distinction between both strategies. It won't be wrong if you state that these two strategies are at two opposite extreme poles. The best example of this concept is the Coke vs. Pepsi war.

THE SOCIETAL MARKETING CONCEPT:

- The idea behind the societal marketing concept is based on the welfare of the entire society because it examines the strategy of the marketing concept. What consumers need doesn't mean that it would be useful for them in the long term. What you need and what is suitable for you and society as a whole are two entirely different things.
- For example, we all like sweet, spicy, and fast foods. We all desire the same things whenever we go out, but it doesn't imply that it's good for our health and the well-being of the whole society.
- The goal and aim of the societal marketing concept is to make companies understand that they have a friendly and environmental responsibility, much more important than their short-term sales and profit goals. Businesses should design and operate towards a sustainable future for society; organizations are a part of society and should behave like one. One of the best examples of societal marketing concepts is the Coca Cola Super Bowl Commercial 2014 "America The Beautiful." Campaign.

FUNCTIONS OF MARKETING:



1. **Market Information**

To identify the **needs, wants and demands** of the consumers and then analyzing the identified information to arrive at various decisions for the successful marketing of a firm's products and services is one of the most important functions of marketing.

The analysis involves judging the internal weaknesses and strengths of the organization as well politico-legal, social and demographic data of the target market. This information is further used in market segmentations

2. **Product Designing and development** - The product design helps in making **the product attractive to the target market**. In today's competitive market environment not only cost matters but also the product design, suitability, shape, style etc. matter a lot in taking production decisions.

3. **Physical Distribution** - The physical distribution functions of marketing involve transporting and storing. The transporting function involve moving products from their points of production to locations convenient for purchasers and storing function involve the warehousing products until needed for sale.

4. **Standardization and Grading** - Standardization involves producing goods at predetermined specifications. Standardization ensures that product offerings meet established quality and quantity. It helps in achieving uniformity and consistency in the output product. Grading is classification of goods in various groups based upon certain predetermined characteristics. It involves the control standards of size, weight etc. Grading helps in pricing decisions also. The higher quality goods and services attract higher prices.

5. **Financing** - The financing functions of marketing involve providing credit for channel members or consumers.

6. **Risk Taking** - Risk taking is one of the important marketing functions. Risk taking in marketing refers to uncertainty about consumer purchases resulting from creation and marketing of goods and services that consumers may purchase in future.

7. **Packaging, labeling and branding** - Packaging involves designing package for the products, labeling means putting information required / specified on a product's covering. Packaging and labeling serve as promotional tools now a day, Branding distinguishes the generic commodity name to a brand name. For example, Wheat Flour is a generic name of a commodity while "Ashirvad Aata" is a brand name. In service industry, also branding matters a lot.
8. **Customer Support** - Customer support is a very important function of marketing. It involves pre sales counseling, after sales service, handling the customer complaints and adjustments, credit services, maintenance services, technical services and consumer information. For example, water purifier comes with an onsite service warranty of 7 years helps in marketing and is an important marketing function as well.

DIFFERENCE BETWEEN MARKETING AND SELLING

Marketing	Selling
Marketing is customer oriented	Selling is sales oriented
Marketing starts with buyer and focus on Needs and wants	Selling starts with seller
Concerned with consumer needs and wants	Concerned with product
Satisfy the consumer	Satisfying company
Focus on consumer needs	Focus on seller needs
Stresses on needs of buyer.	Stresses on needs of the seller.
Marketing converts consumers needs into Product	Selling converts product into cash
Marketing is a long term goal and strategy	Selling is a short term goal
It is an integrated approach to achieve long term goals like creating, maintaining and Retaining the customers.	All activities revolve around the Product that has been produced.
Customer's need is the central point around Whom all marketing activities revolve.	Fragmented approach to achieve short term gain.

Focus is on earning profit through Maximization of customers' satisfaction.	Focus is on earning profit through Maximization of sales.
It starts with research on consumer needs, wants, preference, likes, dislike etc., and continues even after the sales have taken place.	Selling starts after the production process is over and ends with the handing over the money to the seller by the buyer.
Marketing includes selling and other activities like various promotional measures, marketing research, after sales service, etc	Selling is confined to persuasion of consumers to buy firm's goods and services

EVOLUTION OF MARKETING

1. Barter System:

The goods are exchanged against goods, without any other medium of exchange, like money.

2. Production Orientation:

This was a stage where producers, instead of being concerned with the consumer preferences, concentrated on the mass production of goods for the purpose of profit. They cared very little about the customers.

3. Sales Orientation:

The stage witnessed major changes in all the spheres of economic life. The selling activity becomes the dominant factor, without any efforts for the satisfaction of the consumer needs.

4. Marketing Orientation:

Customers' importance was realized but only as a means of disposing of goods produced. Competition became more stiff. Aggressive advertising, personal selling, large scale sales promotion etc., are used as tools to boost sales.

5. Consumer Orientation:

Under this stage only such products are brought forward to the market which are capable of satisfying the tastes, preferences and expectations of the consumers- consumer satisfaction.

6. Management Orientation:

The marketing function assumes a managerial role to co-ordinate all interacting business activities with the objective of planning, promoting and distributing want-satisfying products and services to the present and potential customers.

NATURE OF MARKETING

- **Human activity:** Originally, the term marketing is a human activity under which human needs are satisfied by human efforts. It's a human action for human satisfaction.
- **Consumer-oriented:** A business exists to satisfy human needs, hence business must find out what the desire of customer (or consumer) and thereby produce goods & services as per the needs of the customer. Thus, only those goods should be produce that satisfy consumer needs and at a reasonable profit to the manufacturer (or producer).
- **Art as well as science:** In the technological arena, marketing is the art and science of choosing target markets and satisfying customers through creating, delivering, and communicating superior customer value. It is a technique of making the goods available at right time, right place, into right hands, right quality, in the right form and at right price.
- **Exchange Process:** All marketing activities revolve around commercial exchange process. The exchange process implies transactions between buyer and seller. It also involves exchange of technology, exchange of information and exchange of ideas.
- **Starts and ends with customers:** Marketing is consumer oriented and it is crucial to know what the actual demand of consumer is. This is possible only when required information related to the goods and services is collected from the customer. Thus, it is the starting of marketing and the marketing end as soon as those goods and services reach into the safe hands of the customer.
- **Creation of Utilities:** Marketing creates four components of utilities viz. time, place, possession and form. The form utility refers to the product or service a company offers to their customers. The place utility refers to the availability of a product or service in a location i.e. Easier for customers. By time utility, a company can ensure that products and services are available when customers need them. The possession utility gives customers ownership of a product or service and enables them to derive benefits in their own business.
- **Goal oriented:** Marketing seeks to achieve benefits for both buyers and sellers by satisfying human needs. The ultimate goal of marketing is to generate profits through the satisfaction of the customer.
- **Guiding element of business:** Modern Marketing is the heart of industrial activity that tells what, when, how to produce. It is capable of guiding and controlling business.
- **System of Interacting Business Activities:** Marketing is the system through which a business enterprise, institution or organization interacts with the customers with the objective to earn profit, satisfy customers and manage relationship. It is the performance of business activities that direct the flow of goods and services from producer to consumer or user.

- **Marketing is a dynamic process.** Series of interrelated functions: Marketing is a complex,

continuous and interrelated process. It involves continuous planning, implementation and control.

SCOPE OF MARKETING

(1) Products and Services:

Products and Service are the basic element of marketing. If there is no product there is no marketing. It is concerned with the nature and type of products, product quality and design, product planning and development, product decisions relating to branding, labelling, packaging, trademarks etc.

(2) Marketing Research:

Though products and services were the starting point under traditional marketing, modern marketing starts with an analysis of the various aspects of market and related areas. It includes an analysis of nature and types of customers, size of market, customer attitude, buyer behaviour etc. An in-depth analysis of customers and markets is a prerequisite for every marketer to have a successful marketing.

(3) Channel of Distribution:

The pathway through which the goods move from producer to consumer is the channel of distribution. It includes a number of intermediaries like wholesaler, retailers, jobbers etc. Channels by moving the goods help in transferring the ownership of goods from seller to buyer.

(4) Physical Distribution:

The physical movement of the goods from producer to consumer is physical distribution. It includes transportation, warehousing, inventory control and management, order processing etc.

(5) Promotional Decisions:

Howsoever good a product is, it has no value if it is not properly promoted. Promotion has the basic objective of informing the market about product availability and creating a demand for it. Different promotional tools are there like advertising, sales promotion, personal selling, publicity, public relations etc.

(6) Pricing Decisions:

This is the only element of marketing which generates revenue for the firm. Pricing is concerned with pricing policies and strategies, price determination, discounts, commissions etc.

(7) Environmental Analysis:

An analysis of the environment in which the business is to be carried out is the first step for any organisation. The various macro and micro factors should be studied beforehand only to develop an understanding of the strength, weaknesses, opportunities and threats, for an organisation. This will help not only in the formulation of the corporate strategy but marketing strategy as well. It includes the study of economic environment, geographical environment, political and legal environment, social and cultural environment, natural and technological environment etc. in the country and outside.

(8) Feedback from Customers:

It is successful marketing of goods it is essential that the marketer obtains the required feedback from customers. A proper feedback mechanism should be developed so that reasons for failure or less satisfaction may be identified and improvements in the products be made.

(9) Responsibility towards the Society:

Business and society are interrelated and interdependent. A business cannot exist in vacuum. It derives its much needed inputs from society and therefore owes a responsibility towards the society. These social activities are a part of marketing as the units have to protect and promote the interest of the society. A marketer to be socially responsive owes responsibility towards employees, consumer, shareholder etc.

(10) Consumer Needs and Wants:

Consumer will purchase goods or services only if it fulfills his/ her needs and wants. Before offering a product, the marketer undertakes research activities in order to try and understand customer needs, and then try to offer a product which satisfies those customer needs.

(11) Consumer Behavior:

In this, the marketer studies and analyzes how consumers respond to a particular product or service? Every consumer is different and unique in nature, therefore consumers have to be studied in a group as well as individually in order to understand their behavior and satisfy them accordingly.

(12) Product Planning & Development:

There is no marketing without a product. Therefore product planning and development is an integral part of marketing functions. Product planning and development includes idea generation, concept development, product development, branding, packaging & commercialization of the product. Marketing department plays a key role in this activity along with the research and development team.

(13) Pricing Policies:

As marketing is an exchange process, money is exchanged for products. This aspect of marketing falls under the function of pricing strategies.

Every product needs to be priced strategically in order to survive in the market and satisfy consumers. There are different pricing policies. Each policy depends on various factors like production cost, competition, product life cycle etc.

(14) Distribution:

Study of distribution channels is important in marketing. It is necessary for a marketer to reach maximum customers with minimum cost.

(15) Promotion:

Promotion includes personal selling, sales promotion, word of mouth advertising etc. To achieve marketing objectives it is necessary to design the right promotion mix. The process of designing and implementing the marketing mix falls in the scope of marketing.

(16) Consumer Satisfaction:

Consumer satisfaction is the major objective of marketing. A consumer is satisfied when his/ her needs are fulfilled. Consumer satisfaction ensures that the business is moving in the right direction.

MARKETING MYOPIA

Marketing Myopia is a situation when a company has a narrow-minded marketing approach and it focuses mainly on only one aspect out of many possible marketing attributes. E.g. Focusing just on quality and not on the actual demand of the customer.

A short-sighted and inward looking approach to marketing that focuses on the needs of the company instead of defining the company and its products in terms of the customers' needs and wants. It results in the failure to see and adjust to the rapid changes in their markets

Importance of Marketing Myopia - Marketing Myopia becomes very important if a company understands it. Sometimes there is too much focus on selling in the short term that they stop understanding the consumer behavior especially the needs of the customer. Needs of the customer in a market evolves over time. Products that cater to that need can change with time especially with technology, better research. If a competitor offers those products before, the other companies would suffer. If we say travelling from point A to point B is a need, it can be catered to by a horse, a car or a bike. The company needs to research what product they can make and which need they want to compete for. But if a company does not innovate or foresee these changes, their product will suffer and so would the company

Marketing Myopia Example - A company selling hiking boots is focused on increasing the sales & defines marketing in terms of volume sold rather than defining its marketing itself as a company which is concerned with outdoor experience & adventure.

4P'S OF MARKETING:

- The four Ps are the key considerations that must be thoughtfully reviewed and wisely implemented in order to successfully market a product or service.
 - Product,
 - Price,
 - Place,
 - Promotion.

Product:

- For example, Apple was the first to create a touchscreen smartphone that could play music, browse the internet, and make phone calls. Apple reported total sales of the iPhone for FY 2022 at \$205.4 billion.³ In 2021, it hit the milestone of 2 billion iPhones sold.
- The job of the marketer is to define the product and its qualities and introduce it to the consumer.
- Defining the product also is key to its distribution. Marketers need to understand the life cycle of a product, and business executives need to have a plan for dealing with products at every stage of the life cycle.
- The type of product also dictates in part how much it will cost, where it should be placed, and how it should be promoted.

Price

- Price is the amount that consumers will be willing to pay for a product. Marketers must link the price to the product's real and perceived value, while also considering supply costs, seasonal discounts, competitors' prices, and retail markup.
- In some cases, business decision-makers may raise the price of a product to give it the appearance of luxury or exclusivity. Or, they may lower the price so more consumers will try it.
- Marketers also need to determine when and if discounting is appropriate. A discount can draw in more customers, but it can also give the impression that the product is less desirable than it was.

Place

- Place is the consideration of where the product should be available—in brick-and-mortar stores and online—and how it will be displayed.
- The decision is key: The makers of a luxury cosmetic product would want to be displayed in Sephora and Neiman Marcus, not in Walmart or Family Dollar. The goal of business

executives is always to get their products in front of the consumers who are the most likely to buy them.

- That means placing a product only in certain stores and getting it displayed to the best advantage.
- The term placement also refers to advertising the product in the right media to get the attention of target consumers.
- The goal of promotion is to communicate to consumers that they need this product and that it is priced appropriately.

Promotion

- Promotion encompasses advertising, public relations, and the overall media strategy for introducing a product.
- Marketers tend to tie together promotion and placement elements to reach their core audiences.
- For example, In the digital age, the "place" and "promotion" factors are as much online as offline. Specifically, where a product appears on a company's web page or social media, as well as which types of search functions will trigger targeted ads for the product.

MARKET ENVIRONMENT ANALYSIS

Marketing Environment is the combination of external and internal factors and forces which affect the company's ability to establish a relationship and serve its customers.

The marketing environment of a business consists of an internal and an external environment. The internal environment is company specific and includes owners, workers, machines, materials etc. The external environment is further divided into two components: micro & macro. The micro or the task environment is also specific to the business but external. It consists of factors engaged in producing, distributing, and promoting the offering. The macro or the broad environment includes larger societal forces which affect society as a whole. The broad environment is made up of six components: demographic, economic, physical, technological, political-legal, and social-cultural environment.

Marketing Environmental Analysis is strategic analysis tool. This process helps to identify those internal and external factors of the environment which affect the organization's abilities to work properly. A business leader develops company's structure, culture and policies to give clear guidelines to employees. But the business success is dependent upon how it deals with external environmental effects if any.



The environmental factors that are affecting marketing function can be classified into:

- 1) **Internal environment** and
- 2) **External environment**

Internal Environment of Marketing: This refers to factors existing within a marketing firm. They are also called as controllable factors, because the company has control over these factors :

Top Management: The organizational structure, Board of Director, professionalization of management..Etc..Factors like the amount of support the top management enjoys from different levels of employees, shareholders and Board of Directors have important influence on the marketing decisions and their implementation

Finance and Accounting: Accounting refers to measure of revenue and costs to help the marketing and to know how well it is achieving its objectives. Finance refers to funding and using funds to carry out the marketing plan. Financial factors are financial polices, financial position and capital structure.

Research and Development : Research and Development refers to designing the product safe and attractive. They are technological capabilities, determine a company ability to innovate and compete.

Manufacturing: It is responsible for producing the desired quality and quantity of products. Factors which influence the competitiveness of a firm are production capacity technology and efficiency of the productive apparatus, distribution logistics etc.,

Purchasing: Purchasing refers to procurement of goods and services from some external agencies. It is the strategic activity of the business.

Company Image and Brand Equity: The image of the company refers in raising finance, forming joint ventures or other alliances soliciting marketing intermediaries, entering purchase or sales contract, launching new products etc.

MICRO ENVIRONMENT: The environmental factors that are in its proximity. The factors influence the company's non-capacity to produce and serve the market. The factors are :

Suppliers: The suppliers to a firm can also alter its competitive position and marketing capabilities. These are raw material suppliers, energy suppliers, suppliers of labor and capital. According to Michael Porter, the relationship between suppliers and the firm epitomizes a power equation between them. This equation is based on the industry condition and the extent to which each of them is dependent on the other.

Market Intermediaries: Every producer has to have a number of intermediaries for promoting, selling and distributing the goods and service to ultimate consumers. These intermediaries may be individual or business firms. These intermediaries are middleman (wholesalers, retailers, Agent's etc.), distributing agency market service agencies and financial institutions.

Customers: The customers may be classified as:

- 1) **Ultimate customers:** These customers may be individual and householders.
- 2) **Industrial customers:** These customers are organizations which buy goods and services for producing other goods and services for the purpose of other earning profits or fulfilling other objectives.
- 3) **Resellers:** They are the intermediaries who purchase goods with a view to resell them at a profit. They can be wholesalers, retailers, distributors, etc.

Government and other non-profit customers: These customers purchase goods and services to those for whom they are produced, for their consumption in most of the cases.

International customers: These customers are individual and organizations of other countries who buy goods and services either for consumption or for industrial use. Such buyers may be consumers, producers, resellers, and governments.

Competitors: Competitors are those who sell the goods and services of the same and similar description, in the same market. Apart from competition on price, there are like product differentiation. Therefore, it is necessary to build an efficient system of marketing. This will bring confidence and better results.

Public: It is duty of the company to satisfy the people at large along with its competitors and the consumers. It is necessary for future growth. The action of the company do influence the other groups forming the general public for the company. A public is defined as 'any group that has an actual or potential interest in or impact on a company's ability to achieve its objective.' Public relations are certainly a broad marketing operation which must be fully taken care of.

MACRO ENVIRONMENT: Macro environment factors act external to the company and are quite uncontrollable. These factors do not affect the marketing ability of the concern directly but

indirectly the influence marketing decisions of the company.

Demographic Forces: Here, the marketer monitor the population because people forms markets. Marketers are keenly interested in the size and growth rate of population in different cities, regions, and nations; age distribution and ethnic mix; educational levels; households patterns; and regional characteristics and movements.

Economic Factors: The economic environment consists of macro-level factors related to means of production and distribution that have an impact on the business of an organization.

Physical Forces: Components of physical forces are earth's natural renewal and non-renewal resources. Natural renewal forces are forest, food products from agriculture or sea etc. Non-renewal natural resources are finite such as oil, coal, minerals, etc. Both of these components quite often change the level and type of resources available to a marketer for his production.

Technological Factors: The technological environment consists of factors related to knowledge applied, and the materials and machines used in the production of goods and services that have an impact on the business of an organization.

Social and Cultural Forces: This concept has crept into marketing literature as an alternative to the marketing concept. The social forces attempt to make the marketing socially responsible. It means that the business firms should take a lead in eliminating socially harmful products and produce only what is beneficial to the society. These are numbers of pressure groups in the society who impose restrictions on the marketing process.

Political and Legal Forces: Developments in political and legal field greatly affect the marketing decisions. sound marketing decision cannot be taken without taking into account, the government agencies, political party in power and in opposition their ideologies, pressure groups, and laws of the land. These variables create tremendous pressures on marketing management. Laws affect production capacity, capability, product design, pricing and promotion. Government in almost all the country intervenes in marketing process irrespective of their political ideologies

CUSTOMER VALUE

Customer Value is the perception of what a product or service is worth to a Customer versus the possible alternatives. Worth means whether the Customer feels s/he or he got benefits and services over what s/he paid. In a simplistic equation form, Customer Value is Benefits-Cost ($CV=B-C$).



Components of customer value

1. Functional a. Mesurable quality b. Performance c. Reliability d. Support Network	2. Social a. Builds identification with social, ethnic, or class group b. Emphasize lifestyle c. Development of interaction among people d. Build bonds within groups
3. Emotional a. Assist in making one feel good about themselves b. Attachment to product or service c. Produces a change in how others see the user d. Trustworthiness e. Profound customer experience f. Aesthetics	4. Conditional a. Produces meaning in a specific context b. Tied to particular events c. Tied to holidays d. Demonstrates social responsibility

Components of Customer Cost

Monetary a. Reduce purchase price b. Reduce operating costs c. Reduce maintenance costs d. Reduce opportunity costs	Time a. Reduce time to search for product or service b. Reduce time to purchase c. Reduce learning curve
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Psychic Simplified use Comfortable” feeling with regard to product or service use	
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The growth of customer value can be sustainable in the future if companies focus on creating long-term relationships with their customers, rather than just short-term transactions. Here are a few ways that companies can achieve sustainable growth in customer value:

Delivering high-quality products and services: Customers value quality, and they are willing to pay for it. If a company can consistently deliver high-quality products and services, customers will be more likely to remain loyal to the brand and recommend it to others.

Building trust with customers: Trust is essential to building long-term relationships with customers. Companies can build trust by being transparent about their products and services, treating customers with respect, and addressing any concerns or complaints in a timely and satisfactory manner.

Personalizing the customer experience: Customers appreciate personalized experiences that meet their individual needs and preferences. By collecting data about customers and using it to tailor their experiences, companies can build deeper connections with their customers and increase the perceived value of their products and services.

Fostering a culture of innovation: Innovation is essential for staying ahead of the competition and meeting changing customer needs. Companies that foster a culture of innovation and encourage employees to come up with new ideas are more likely to create products and services that customers value.

By focusing on these key areas, companies can create sustainable growth in customer value that will benefit both the company and its customers over the long term.

Customer satisfaction

- Customer satisfaction is defined as a measurement that determines how happy customers are with a company's products, services, and capabilities.
- Customer satisfaction information, including surveys and ratings, can help a company determine how to best improve or changes its products and services.
- Customer satisfaction measures how happy a customer was with a support interaction or a purchase.
- Customer loyalty, on the other hand, is an ongoing state. Loyal customers give a company their repeat business over time. It is not a short-term measure, but rather a long-term understanding of

the health of your customer relationship.

How they are calculated:

- Customer value is a quantitative concept as you can measure the cost and put it in monetary terms.
- As for customer satisfaction, it's subjective to each customer and can't be monetized.
- It's a qualitative element so you can only ask your customer how they feel about their purchase to understand how your services are delivered.

USES CV & CS:

- Consumer value and satisfaction are used for different purposes.
- Customer value helps you define what cost and effort are spent to acquire your products and information related to those products such as communication systems, pricing, reviews, etc. Thus you can look further and improve these factors.
- Customer satisfaction is more likely defined by customer service, customer interaction, loyalty program, reward point program, guarantee or return policy, etc. So if you are looking to improve customer satisfaction, these are what you should look into.
- To improve how you perform, it's essential to understand customer value and satisfaction expectations then make sure what you provide is up to par.

The relationship between customer value and satisfaction

- There is a relationship between customer value and satisfaction. They are highly related to each other and both help your business to grow.
- **Customer value leads to customer satisfaction.** Once a customer perceives they will gain benefit from a product, they will make a purchase. With customer service and after service perfectly delivered, customer satisfaction will be achieved. You can't just get customers satisfied if they don't buy in the first place. So customer value is the key to lure customers to your door and start their buying journey.
- **Customer satisfaction increases customer value.** Say, a customer bought a product from your store, and thanks to the exceptional service, he/she is convinced to repeat the purchase. As (s)he has gone through the whole buying process with you, (s)he knows (s)he will gain great benefit and convenience, so the cost/effort involved is less and the customer value increases.
- Therefore, it's crucial to understand the relationship between customer satisfaction and customer value and differentiate their nature to apply it wisely into your business.

TECHNIQUE USED IN ENVIRONMENTAL ANALYSIS

1. SWOT Analysis
2. ETOP:
3. Forecasting
4. Verbal and Written Information:

5. Management Information System (MIS):

A. SWOT Analysis

SWOT Analysis is a simple but useful framework for analyzing your organization's strengths, weaknesses, opportunities, and threats. It helps you to build on what you do well, to address what you're lacking, to minimize risks, and to take the greatest possible advantage of chances for success.

B. ETOP:

ETOP analysis (environmental threat and opportunity profile) is the process by which organizations monitor their relevant environment to identify opportunities and threats affecting their business for the purpose of taking strategic decisions.

C. Forecasting

Forecasting is the process of making predictions of the future based on past and present data and most commonly by analysis of trends. ... In any case, the data must be up to date in order for the forecast to be as accurate as possible. In some cases the data used to predict the variable of interest is itself forecast.

D. Verbal and Written Information:

Verbal communication is the use of words to share information with other people. It can therefore include both spoken and written communication. However, many people use the term to describe only spoken communication.

Written information means information that is in written form and includes but is not limited to information obtained by electronic means, such as electronic mail, facsimile or other form of electronic communication.

E. Management information system (MIS)

MIS is a computer system consisting of hardware and software that serves as the backbone of an organization's operations. An MIS gathers data from multiple online systems, analyzes the information, and reports data to aid in management decision-making. Marketing in the 21st century is very different from its early beginnings.

CHARACTERISTICS OF MACRO ENVIRONMENT

- The macro environment refers to the broader societal and environmental factors that influence a company's operations and performance, but are generally beyond its direct control. Some of the key characteristics of the macro environment are:
- **Uncontrollable:** The macro environment is largely uncontrollable by individual companies, as it is shaped by external factors such as economic trends, political developments, and social and cultural values.
- **Complexity:** The macro environment is complex and multifaceted, with a wide range of interconnected factors that can influence a company's success.
- **Long-term impact:** The macro environment can have a significant long-term impact on a company's operations and performance, often spanning multiple years or even decades.
- **Influence on strategy:** The macro environment can influence a company's strategic decisions, such as its choice of markets, products, and marketing approaches.
- **Global nature:** The macro environment is increasingly global in nature, with companies having

to navigate complex regulatory, economic, and cultural environments in multiple countries and regions.

- **Environmental impact:** The macro environment includes environmental factors, such as climate change and natural resource availability, which can have a significant impact on a company's operations and sustainability.
- **Technological change:** The macro environment is characterized by rapid technological change, which can create both opportunities and challenges for companies in different industries.

CHARACTERISTICS OF MICRO ENVIRONMENT

The micro environment refers to the immediate environment surrounding a company, which includes its suppliers, customers, competitors, and other stakeholders with whom it interacts on a regular basis. Some of the key characteristics of the micro environment are:

- **Proximity:** The micro environment is close to the company and can directly impact its operations and performance.
- **Specificity:** The micro environment is unique to each company, and the specific characteristics of its suppliers, customers, and competitors can vary widely.
- **Controllability:** The micro environment is relatively more controllable by the company than the macro environment, as the company has a greater ability to influence its immediate stakeholders.
- **Dynamism:** The micro environment is constantly changing, and companies must be able to adapt quickly to new market conditions, competitive pressures, and changes in customer preferences.
- **Interdependence:** The micro environment is highly interdependent, as the actions of one stakeholder can have a ripple effect on others.
- **Competition:** The micro environment is highly competitive, and companies must be able to differentiate themselves from their competitors in order to succeed.
- **Relationship-driven:** The micro environment is driven by relationships between the company and its stakeholders, and building strong relationships with suppliers, customers, and other partners is crucial for success.

MARKETING TO THE 21ST CENTURY CUSTOMER. Marketing in the 21st century is constantly evolving due to advances in technology and changes in consumer behavior. Here are some key strategies for effective marketing in the 21st century:

1. **Embrace digital marketing:** With more people spending time online, digital marketing has become a crucial component of any marketing strategy. Utilize social media, email marketing, SEO, and content marketing to reach your target audience online.
2. **Personalize your messaging:** Consumers are looking for personalized experiences, so use data and insights to tailor your messaging to individual customers. This can include targeted advertising, personalized email campaigns, and customized content.
3. **Utilize data analytics:** Analyze customer data to gain insights into consumer behavior and preferences. This information can help you make informed decisions about your marketing strategy and improve the customer experience.
4. **Focus on customer engagement:** In today's world, customers want to feel connected to brands they support. Use social media, blogs, and other channels to engage with your customers and build relationships with them.

5. **Utilize influencer marketing:** Influencer marketing has become a popular strategy for brands looking to reach new audiences. Identify influencers in your industry and work with them to promote your products or services.
6. **Prioritize mobile optimization:** With more people accessing the internet on their mobile devices, it's important to ensure your website and marketing materials are optimized for mobile. This includes responsive web design and mobile-friendly content.
7. **Emphasize sustainability and social responsibility:** Consumers are increasingly conscious of the impact their purchases have on the environment and society. Incorporate sustainable and socially responsible practices into your business model and promote them in your marketing efforts.

Overall, the key to effective marketing in the 21st century is to adapt to changing consumer behaviors and utilize technology to reach your target audience. By prioritizing personalization, engagement, and social responsibility, you can build strong relationships with your customers and drive long-term success for your business.

IMPORTANT QUESTIONS:

1. List out the components of marketing environment. Examine the factors you consider while introducing an online tutoring service. 10m
2. Define Marketing.3m
3. Marketing is beyond Matching the product with the market. in the light of this statement discuss the Nature & scope of Marketing.10m
4. The growth of customer value is sustainable in the future. Explain. 3m/7m
5. Enumerate the functions of Marketing.7m
6. Differentiate buying and selling. 7m
7. Elaborate the techniques used in environment analysis.7m
8. Examine the marketing in 21st century customers. 7m
9. Explain characteristics of micro and macro environment.10m
10. Elaborate the 4P's of marketing by quoting an example.7m
11. What is Marketing myopia? 3m
12. Sound marketing is essential to a business's existence and success. Justify 10m
13. Describe the relationship CV & CS with an example. 7m